

1 ENGROSSED SENATE
2 BILL NO. 1242

By: Hamilton of the Senate

3 and

4 George of the House
5

6 An Act relating to medical marijuana licensees;
7 amending Section 2, Chapter 41, O.S.L. 2023 (63 O.S.
8 Supp. 2025, Section 427.26), which relates to bond
9 required for land used in commercial growing
operations; increasing certain bond requirement;
updating statutory references; and providing an
effective date.

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12 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

13 SECTION 1. AMENDATORY Section 2, Chapter 41, O.S.L. 2023
14 (63 O.S. Supp. 2025, Section 427.26), is amended to read as follows:

15 Section 427.26. A. It shall be unlawful for any holder of a
16 medical marijuana business license pursuant to Section 427.14 of
17 ~~Title 63 of the Oklahoma Statutes~~ this title to engage in any
18 commercial growing operations in this state without acquiring a
19 bond. The bond shall cover that area of land within the permit area
20 upon which the business licensee will initiate and conduct
21 commercial growing operations.

22 B. Every applicant for a commercial grower license or
23 commercial grower licensee shall file with the Oklahoma Medical
24 Marijuana Authority a bond satisfactory to the Authority and in the

1 amount no less than ~~Fifty Thousand Dollars (\$50,000.00)~~ One Hundred
2 Thousand Dollars (\$100,000.00) for each license sought or held, with
3 a surety company qualified to do business in this state as a surety.
4 The bond shall be furnished to the state for the use of the state
5 pursuant to the provisions of this ~~act~~ section and Section 427.14 of
6 this title. The bond shall be conditional that the obligor will
7 comply with the provisions of this ~~act~~ section and Section 427.14 of
8 this title including, but not limited to, building codes,
9 administrative rules, and other relevant laws, and all rules and
10 regulations made pursuant to this ~~act~~ section and Section 427.14 of
11 this title and will pay all amounts of money that may be due to the
12 state during the time such bond is in effect.

13 C. The Authority or the Department of Environmental Quality may
14 require a higher amount depending upon the reclamation requirements
15 of the approved application. The amount shall reflect the probable
16 difficulty of reclamation with consideration for such factors
17 including, but not limited to, topography, hydrology, and
18 revegetation potential. The amount of the bond for a commercial
19 growing operation shall be sufficient to assure the completion of
20 the reclamation plan if the work has to be performed by the
21 Authority or the Department of Environmental Quality in the event of
22 revocation of license.

23 D. An appropriate agency may recall the bond if the property
24 has been abandoned, the Authority revokes the commercial growing

1 operation's license, or in response to receiving notice of a
2 violation of any law, regulation, policy, or ordinance necessitating
3 remedial action. The bond shall be used to defray the cost of
4 restoration of the property including, but not limited to, removing
5 equipment, destruction of waste, remediation of environmental
6 hazards, prohibiting public access, addressing improperly coded
7 buildings, or determination of the final disposition of any seized
8 property.

9 E. A holder of a medical marijuana business license pursuant to
10 Section 427.14 of ~~Title 63 of the Oklahoma Statutes~~ this title
11 engaging in a commercial growing operation may operate without
12 obtaining a bond upon verification by the Authority that the
13 permitted land on which the licensee operates the commercial growing
14 operation has been owned by the licensee for at least a five-year
15 period prior to submission of application.

16 SECTION 2. This act shall become effective November 1, 2026.
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1 Passed the Senate the 25th day of March, 2026.

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3 _____
4 Presiding Officer of the Senate

5 Passed the House of Representatives the ____ day of _____,
6 2026.

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8 _____
9 Presiding Officer of the House
10 of Representatives